Absorbing Transition DID Results: Big4 Background — Upgrade

	Any Failure		Restatement		Violation	
	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary
Panel A: Absorbing DID: Trim						
× Mandatory Rotation		-0.055**		-0.027***		-0.046*
		(0.024)		(0.007)		(0.024)
× Voluntary Rotation		-0.009		-0.003		-0.009
		(0.010)		(0.007)		(0.008)
Pooled	-0.009		-0.006		-0.007	
	(0.008)		(0.005)		(0.007)	
Mandatory − Voluntary		-0.045*		-0.024***		-0.037
Difference p-value		0.082		0.010		0.148
Observations	58,587	51,568	58,587	51,568	58,587	51,568
Firms	5,503	5,266	5,503	5,266	5,503	5,266
Panel B: Absorbing DID: Strict						
× Mandatory Rotation		-0.074**		-0.025***		-0.068*
		(0.034)		(0.004)		(0.035)
× Voluntary Rotation		-0.038***		-0.018*		-0.026**
		(0.014)		(0.010)		(0.011)
Pooled	-0.040***		-0.020***		-0.028***	
	(0.011)		(0.008)		(0.010)	
Mandatory − Voluntary		-0.037		-0.008		-0.042
Difference p-value		0.318		0.463		0.246
Observations	50,728	46,088	50,728	46,088	50,728	46,088
Firms	4,565	4,531	4,565	4,531	4,565	4,531
Panel C: Fixed-Window DID: 2-Year Window						
× Mandatory Rotation		-0.023		-0.021***		-0.019
		(0.028)		(0.007)		(0.028)
× Voluntary Rotation		0.001		0.001		0.001
		(0.008)		(0.006)		(0.007)
Pooled	0.005		0.001		0.003	
	(0.006)		(0.004)		(0.005)	
Mandatory − Voluntary		-0.024		-0.022**		-0.020
Difference p-value		0.404		0.023		0.493
Observations	60,931	53,492	60,931	53,492	60,931	53,492
Firms	5,628	5,401	5,628	5,401	5,628	5,401
Panel D: Fixed-Window DID: 3-Year Window						
× Mandatory Rotation		-0.028		-0.021***		-0.023
		(0.024)		(0.007)		(0.024)
× Voluntary Rotation		0.001		0.000		0.000
		(0.008)		(0.006)		(0.007)
Pooled	0.004		0.001		0.002	
	(0.006)		(0.004)		(0.005)	
Mandatory − Voluntary		-0.029		-0.021**		-0.023
Difference p-value		0.256		0.020		0.366
Observations	61,828	54,236	61,828	54,236	61,828	54,236
Firms	5,628	5,414	5,628	5,414	5,628	5,414
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Audit Firm FE	No	No	No	No	No	No
Sample years	Full	2004 onward	Full	2004 onward	Full	2004 onward

Notes: Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.